Bimbo secures 150-GWh annual renewables supply from Repsol

Thursday, July 30, 2026 12:07 PM ET

By Nephele Kirong
S&P Global Energy

Repsol SA has signed 12-year virtual power purchase agreements with Grupo Bimbo SAB de CV to supply renewable electricity equivalent to 100% of the Mexican company's annual consumption across Spain, Portugal, France and Italy.

The deal, structured as nine separate VPPAs totaling about 150 gigawatt-hours per year, will draw on wind and solar capacity from Repsol assets in Spain, including the Spanish energy company's first hybrid projects, Repsol said in a July 30 statement.

"This agreement with Bimbo Group allows us to strengthen our renewable portfolio while meeting the long-term needs of large energy consumers," said João Costeira, executive managing director of low-carbon generation at Repsol.

The arrangement covers 18 Bimbo production facilities in Southern Europe and moves beyond standard renewable energy certificate purchases to long-term agreements tied directly to physical generation assets. The VPPAs support Bimbo Group's target to reach net-zero carbon emissions by 2050.

Schneider Electric SE advised on the transaction.

Repsol operates more than 6 gigawatts of installed capacity, mainly in Spain and the US.

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Mexico's Grupo Bimbo Appoints Alejandro Rodriguez Bas as CEO

Thursday, November 6, 2025 6:35 PM ET

By Anthony Harrup
MEXICO CITY--Mexican baking and snacks company Grupo Bimbo named Alejandro Rodriguez Bas as chief executive, replacing Rafael Pamias Romero who the company said resigned to address personal and health matters.
Rodriguez Bas, an industrial engineer with a master's in business administration from Harvard, joined Bimbo in 2021 and is currently president of the Barcel Global snacks unit. He worked 10 years at PepsiCo, where he was CEO for the Australia and New Zealand region and also chief executive of Mexican dairy company Grupo Lala.
Rodriguez Bas has "solid commercial and operational experience, and a proven track record of driving growth in iconic consumer brands," Bimbo's executive chairman Daniel Servitje said in a release. Pamias Romero worked at Bimbo for eight years, including the past year and a half as chief executive.
Grupo Bimbo is the world's largest baking company with annual sales of more than $21 billion, operations in 39 countries, and presence in 52 others through strategic partnerships.
Write to Anthony Harrup at anthony.harrup@wsj.com
(END) Dow Jones Newswires

November 06, 2025 18:35 ET (23:35 GMT)

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Bimbo Canada signs 2 power purchase agreements for wind, solar resources

Tuesday, April 13, 2021 3:47 PM ET

By Stephen Cedric Jumchai
S&P Global Energy

Bimbo Canada, a subsidiary of bakery-products maker Grupo Bimbo SAB de CV, entered into two 15-year virtual power purchase agreements with Renewable Energy Systems Holdings Ltd. to procure approximately 50 MW to offset its electricity consumption in Canada.

The procured power will offset the electricity consumption of Bimbo Canada's 16 bakeries, 14 distribution centers and 191 depots across the country, the company said in an April 13 news release.

The agreements will support the commercial development of two renewable energy projects in southern Alberta composed of wind and solar resources with a total installed capacity of 170 MW. Commercial development for the projects is expected to be finalized by the end of the year by RES Canada Inc., and they are scheduled to be fully operational by December 2022, the release added.

The agreements move the company closer to its goal of 100% renewable electricity by 2025, Grupo Bimbo global CEO Daniel Servitje said in the release.

Mexico-headquartered Grupo Bimbo has a virtual power purchase agreement for 100 MW from a Texas wind farm to support its U.S. operations.

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Blue Horizon closes €183M vegan-focused VC fund – Bloomberg

Tuesday, January 19, 2021 9:00 AM ET

By Pam Rosacia
Market Intelligence

Zurich-based venture capital firm Blue Horizon Corp. raised €183 million for its vegan-focused fund at final close, surpassing its initial €100 million target, Bloomberg Markets reported, citing Managing Partner Michael Kleindl.

Blue Horizon Ventures attracted capital from more than 100 investors, including two pension funds, the European Investment Fund, Mexican food companies Grupo Bimbo SAB de CV and Sigma Alimentos SA de CV, Be8 Ventures Management GmbH and Givaudan SA, Kleindl reportedly said.

The fund will back startups focused on alternative proteins, smart packaging and related areas.

The firm aims to roll out a second fund with a slightly bigger target in the fourth quarter, the news outlet added, citing Kleindl.

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Grupo Bimbo in talks to acquire majority stake in Everfoods – ET

Wednesday, September 9, 2020 3:26 AM ET

By Isa Martinez
Market Intelligence

Bakery products maker Grupo Bimbo SAB de CV is in talks to acquire a controlling stake in packaged-goods business Everfoods from private equity firm Everstone Capital Asia Pte Ltd., *The Economic Times* (India) reported Sept. 8, citing two people aware of the talks.

Mexico City-based Grupo Bimbo is planning to buy the stake in Everfoods for its Modern Foods Enterprises Pvt. Ltd. bakery brand, the report said.

Everfoods acquired Modern Foods from Hindustan Unilever Ltd., the Indian arm of The Unilever Group, in 2016.

Modern Foods produces its bread and bakery goods through a network of 40 manufacturing plants and over 80,000 outlets in India, holding about 35% to 40% market share in the sector, according to *ET*.

Investment bank Investec is reportedly advising Everstone.

The newspaper said an Everstone Capital spokesperson declined to comment while Grupo Bimbo did not immediately respond to requests for comment.

Grupo Bimbo operates in 33 countries and owns over 100 brands. The company expanded into India in 2017 with the acquisition of bakery brand Harvest Gold, the report said.

As of Sept. 7, US$1 was equivalent to 73.47 Indian rupees.

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DATA DISPATCH
Food in Focus: Wholesale prices slow their increase in December 2019

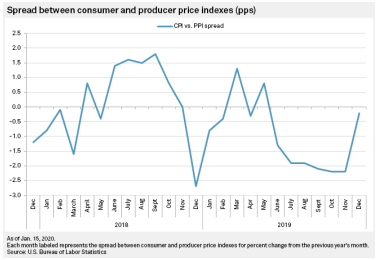
Friday, January 17, 2020 11:12 AM ET

By Alexander Bitter
Market Intelligence

Slowing wholesale price increases for fresh and dry vegetables and eggs for fresh use curbed the growth rate for producer food prices in December 2019, narrowing the spread with on-the-shelf prices.

The "final demand food" subindex of the producer price index, or PPI, rose 0.9% in December, a slower clip than November's 3.2%, according to the U.S. Bureau of Labor Statistics, or BLS. The subindex is a measure of prices that retailers pay food wholesalers to stock their shelves.

The "food at home" index of the consumer price index, or CPI, rose 0.7% over the same period. The subindex represents prices paid by consumers at retailers such as Walmart Inc. and The Kroger Co., according to BLS.



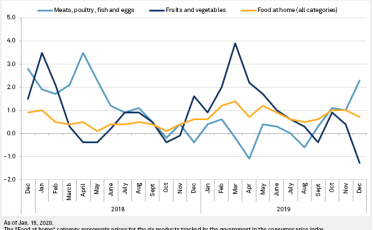
Analysts use the difference between the two metrics to determine the state of grocers' profits margins, subtracting the growth rate of the PPI subindex from the growth rate of the CPI index. When the result is negative, grocers' margins are more likely to narrow.

In December, the difference was negative by 0.2 percentage points, narrower than the 2.2% for November, according to an analysis by S&P Global Market Intelligence.

Wholesale prices for fresh fruits and melons, fresh and dry vegetables, eggs for fresh use, shortening and cooking oils, as well as beef and veal, all fell during the month. Meanwhile, prices for pork, processed turkeys, dairy products, finfish and shellfish all rose. Consumer prices for fruits and vegetables fell 1.3%, while prices rose for all other products, with cereals and bakery products advancing 0.3%, meats, poultry, fish and eggs rising 2.3%, dairy and related products notching a 2.4% gain and nonalcoholic beverages and beverage materials increasing 1%.

Other food at home, a category that includes candy and margarine, rose 0.3%.

Food at home consumer price index unadjusted YOY change (%)



As of Jan. 15, 2020.
The "Food at home" category represents prices for the six products tracked by the government in the consumer price index.
Each month labeled represents the percent change from the previous year's month.
Source: U.S. Bureau of Labor Statistics

Kroger debuted Emerge, a plant-based brand for burgers and ground meat, Jan. 8. The products are the latest in a series of plant-based meat products to be introduced by food companies and grocers.

Walmart unveiled a robot from startup Alert Innovation Inc. Jan. 8 that can pick grocery orders. The robot, called Alphabot, has been filling orders at Walmart's Salem, N.H., location, and the retailer said it will make decisions about a broader rollout of the technology after getting feedback from employees and customers.

The highest-value food deal of the month leading to Jan. 15 was Cott Corp.'s $787 million deal for filtered water provider Primo Water Corp. Cott, which has been considering alternatives for its coffee and tea business to focus on water, will assume the Primo name as part of the deal, which was announced Jan. 13.

Several major food companies found buyers for specific businesses. Conagra Brands Inc. sold its Lender's Bagels business to Bimbo Bakeries USA Inc., a subsidiary of Mexican bakery owner Grupo Bimbo SAB de CV, on Dec. 19. The companies did not disclose the terms of the deal.

Nestlé SA, meanwhile, said Dec. 19 that it would sell a majority stake of its Herta business to Spanish food company Casa Tarradellas SA for an undisclosed price. The deal, which creates a joint venture between Nestlé and Casa Tarradellas, includes cold cuts and dough.

Meat processor Tyson Foods Inc. sold California-based Golden Island Jerky Co. Inc. to Link Snacks Inc. for an undisclosed amount Dec. 30. Link makes Jack Link's beef jerky.

German conglomerate JAB Holding Co. SARL said Dec. 17 that it would combine Peet's Coffee & Tea Inc. and Jacobs Douwe Egberts BV and pursue an IPO for the new entity. Snack-maker Mondelez International Inc. is an investor in the coffee venture.

Coca-Cola Co. acquired all of milk beverage company fairlife LLC on Jan. 3 for an undisclosed amount. Coca Cola previously had a 42.5% stake in the Chicago-based business, and the soft drink giant said in a statement that the acquisition would give it more power in a growing product category.

"Value-added dairy products have been growing steadily in the United States, in contrast to the traditional fluid milk category, with great-tasting, nutrient-dense Fairlife milk products playing a significant role in that growth," the company said in a Jan. 3 statement.

M&A transactions
Select food industry deals in the past month

Date announced	Target	Buyer	Seller	Total transaction value ($M)	Status
12/17/19	Jacobs Douwe Egberts BV	Peet's Coffee & Tea Inc.	Mondelez International Inc. (Nasdaq:GD: MDLZ)	Not disclosed	Announced
12/19/19	Lender Bagel Business of Conagra Brands Inc.	Bimbo Bakeries USA Inc.	Conagra Brands Inc. (NYSE: CAG)	Not disclosed	Closed
12/19/19	Herta SAS	Casa Tarradellas SA	Nestlé SA	Not disclosed	Announced
12/30/19	Golden Island Jerky Co. Inc.	Link Snacks Inc.	Tyson Foods Inc. (NYSE: TSN)	Not disclosed	Closed
01/03/20	fairlife LLC	The Coca-Cola Co. (NYSE: KO)	Select Milk Producers Inc.	Not disclosed	Closed
01/13/20	Primo Water Corp. (Nasdaq:GM: PRMW)	Cott Corp. (TSX: BCB)	NA	786.99	Announced

Data as of Jan. 15, 2020.
NA = not applicable.
Primo Water was a stand-alone company prior to acquisition.
Total transaction value represents the prices of the deal at the time of announcement.
Source: S&P Global Market Intelligence

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DATA DISPATCH
Nearly 1,500 MW of US wind power capacity added in Q3

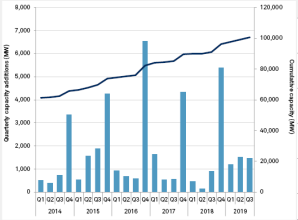
Tuesday, December 17, 2019 7:41 AM ET

By Justin Horwath
S&P Global Energy

In the first three quarters of 2019, 4,251 MW worth of wind power capacity came online in the U.S., making this one of the hottest years on record for the industry, according to S&P Global Market Intelligence data.

Developers are pushing to get projects across the line before the 2020 expiration of the federal production tax credit for wind energy projects. Six projects, totaling 1,491 MW of generation capacity, came online in the third quarter at a combined estimated cost of $2.7 billion.

US wind capacity by quarter in service



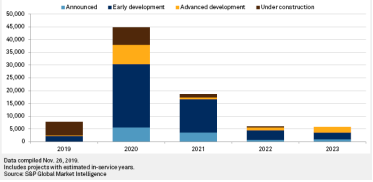
Year	Quarter	Capacity (MW)
2014	Q1	523
	Q2	380
	Q3	736
	Q4	3,366
2015	Q1	537
	Q2	1,575
	Q3	1,981
	Q4	4,293
2016	Q1	953
	Q2	761
	Q3	588
	Q4	6,561
2017	Q1	1,641
	Q2	553
	Q3	582
	Q4	4,336
2018	Q1	475
	Q2	166
	Q3	910
	Q4	5,489
2019	Q1	1,221
	Q2	1,539
	Q3	1,491

Data compiled Nov. 26, 2019.
Source: S&P Global Market Intelligence

That is the strongest third quarter for wind capacity additions since the third quarter of 2015, when 1,901 MW came online. That year, as in 2019, there was uncertainty about whether Congress would extend the tax credit.

Strong construction activity is expected to continue in 2020, with an estimated 45 GW set to be completed, according to company announcements. Some 30 GW of that total is in early development or pre-development.

US wind projects by estimated year in service, development status (MW)



Data compiled Nov. 26, 2019.
Includes projects with estimated in-service years.
Source: S&P Global Market Intelligence

Four of the six projects completed in the quarter, totaling 994 MW, were in Texas, which continues to lead the nation in installed wind capacity, according to the American Wind Energy Association. The grid operated by the Electric Reliability Council of Texas, which covers most of the state, saw all-time demand records in August, as low margins between power demand and supply forced ERCOT to call for customers to conserve energy.

The largest U.S. wind farm to come online was Innergex Renewable Energy Inc. subsidiary Alterra Power Corp.'s 350-MW Foard City Wind Project in Foard County, Texas. Vistra Energy Corp. agreed to purchase some of the output for 12 years of the project.

Invenergy LLC sold a 75% interest in the 302-MW Santa Rita East Wind Farm (Oveja) in Irion County, Texas, which came online in the third quarter, to American Electric Power Co. Inc. subsidiary AEP Renewables. Invenergy still holds a 25% stake. The wind farm holds virtual power purchase agreements with Grupo Bimbo SAB de CV for 100 MW, Merck & Co. Inc. for 60 MW and Novartis AG for 100 MW.

Largest US wind power plant projects completed in Q3'19

Plant	Project phase number	Ultimate parent	Capacity (MW)	County, state
Foard City Wind Project	1	Invenergy Renewable Energy Inc.	350	Foard, TX
Santa Rita East Wind Farm (Oveja)	1	Multi-owned	302	Irion, TX
Solomon Forks Wind Facility (Infinity)	1	Engie SA	276	Thomas, KS
Grady Wind Energy Center	1	Multi-owned	221	Curry, NM
Lockett Wind Farm	1	Multi-owned	184	Wilbarger, TX
Gopher Creek Wind Farm (Fluvanna 2)	1	GEKTERNA Holdings Real Estate Construction SA	158	Scurry, TX

Data compiled Nov. 26, 2019.
Source: S&P Global Market Intelligence

In Wilbarger County, Texas, Ørsted A/S subsidiary Lincoln Clean Energy LLC energized its 184-MW Lockett Wind Farm. The Denmark-based Ørsted now has more than 1 GW of operational assets in the U.S.

In Scurry County, Texas, Terna Energy SA, a renewable energy developer headquartered in Greece, energized its 158-MW Gopher Creek Wind Farm (Fluvanna 2).

US planned wind power plant projects announced in Q3'19

Plant	Project phase number	Ultimate parent	Capacity (MW)	Estimated construction costs ($000)*	Estimated in-service year	State
Park City Wind Offshore	1	Multi-owned	1,200	6,780,000	NA	CT
Hart Wind Project	1	Orion Renewable Energy Group LLC	150	270,000	2021	TX

Data compiled Nov. 26, 2019.
NA = not available
* Maximum estimated construction costs.
Source: S&P Global Market Intelligence

Two projects were announced during the quarter. Vineyard Wind LLC, a joint venture of Avangrid Renewables LLC and Copenhagen Infrastructure Partners K/S of Denmark, proposed its 1,200-MW Park City Wind Offshore project. On Dec. 5, Connecticut said it had selected the Park City project as part of its solicitation for offshore wind power. The state plans to draw 804 MW from the project.

Park City is the company's second major announced offshore wind project, after the proposed 800-MW Vineyard Offshore Wind Project. Federal regulators have paused the permit approval process for that project, and have not said when they will decide to deny or approve it.

Avangrid Renewables LLC is a subsidiary of Avangrid Inc., whose parent company is Iberdrola SA of Spain. The estimated construction cost for Park City is $6.78 billion, according to S&P Global Market Intelligence data.

Also, Oakland, Calif.-based Orion Renewable Energy Group announced its 150-MW Hart Wind Project in Castro County, Texas. The $270 million project is scheduled to come online in December, 2021.

Largest US planned wind projects in advanced development or under construction

Plant	Project phase number	Ultimate parent	Planned capacity (MW)	Estimated construction costs ($000)*	Estimated in-service year	County, state
Chokecherry and Sierra Madre Wind Energy Project	1-5	The Anschutz Corp.	3,000	5,400,000	2022-2026	Carbon, WY
Little Medicine Bow Wind Farm (Viridis Eolia Master Plan)	1-6	Viridis Renewable Energy Corp.	1,870	3,646,500	NA	Carbon, WY
Traverse Wind Energy Center	1	Invenergy LLC	999	1,798,200	2021	Custer, OK
Sunrise Wind Offshore Farm	1	Multi-owned	880	4,972,000	2024	NY
Vineyard Offshore Wind Project	1	Multi-owned	800	4,520,000	2022	MA
Revolution Wind Offshore	1	Multi-owned	704	3,977,600	2022	MA
Sagamore Wind Project	1	Xcel Energy Inc.	522	900,060	2020	Roosevelt, NM
TB Flats I & II Wind Project	1	Multi-owned	503	905,400	2020	Carbon, WY
Cheyenne Ridge Wind	1	Xcel Energy Inc.	500	900,000	2020	Cheyenne, CO
Goodnight Wind Energy	1	FGE Power LLC	500	900,720	2020	Armstrong, TX
Wheatridge Wind Energy Facility	1	Multi-owned	500	900,000	2022	Morrow, OR

Development status: Advanced development; Under construction

Data compiled Nov. 26, 2019.
NA = not available
* Maximum estimated construction costs.
Source: S&P Global Market Intelligence

Eleven projects, totaling 10.8 GW, are in advanced development or under construction. The estimated construction cost for those projects totals $28.8 billion, according to S&P Global Market Intelligence estimates.

Wyoming, which has fallen behind its neighbors in wind development but is now in the early stages of a surge in activity, has the most capacity in advanced development in the nation, with three projects totaling 5,373 MW.

One of those is set to be the largest onshore wind project in the nation: The $5 billion 3,000-MW Chokecherry and Sierra Madre Wind Energy Project in Carbon County, Wyo., is nearing the regulatory finish line after years of planning. Chokecherry and Sierra Madre is being developed by The Anschutz Corp. subsidiary Power Company of Wyoming.

Also in Carbon County, Viridis Renewable Energy Corp is developing the 1,870-MW Little Medicine Bow Wind Farm (Viridis Eolia Master Plan). And construction is under way on Berkshire Hathaway Energy subsidiary PacifiCorp's 503-MW TB Flats I & II Wind Project. TB Flats is scheduled to come online in 2020.

Krizka Danielle Del Rosario contributed to this article.

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Bimbo Bakeries recalls cookies due to plastic contaminants

Friday, August 2, 2019 1:13 PM ET

By Amanda Jean Dalugdug
Market Intelligence

Grupo Bimbo SAB de CV-owned Bimbo Bakeries USA Inc. is voluntarily recalling a line of cookies due to the potential presence of visible, blue plastic pieces in the individual packaging pouch, according to an Aug. 1 release.

The recall covers five-pack packages of Entenmann's Little Bites Soft Baked Chocolate Chip Cookies with best-by dates of Aug. 31 and Sept. 7 and with UPC code 7203002378.

The products were distributed to retail outlets across 37 U.S. states, including Walmart Inc. stores.

The recall was triggered after consumers reported finding visible, blue plastic pieces on or packaged with the product.

Bimbo Bakeries noted that the plastic is not baked into the product since it was introduced during the packaging process. However, the company still warned that consumption of the plastic pieces may result in a choking hazard.

The manufacturer said no Little Bites Muffins or other Entenmann's brand products are affected in the recall.

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AEP Renewables closes purchase of 75% stake in Texas wind farm

Wednesday, July 24, 2019 1:44 PM ET

By Saad A. Sulehri
Market Intelligence

American Electric Power Co. Inc. subsidiary AEP Renewables has completed the acquisition 75%, or 227 MW, of the Santa Rita East wind project in San Angelo, Texas, from Invenergy LLC.

Invenergy will retain the remaining 25% interest while continuing to provide operations, asset management and energy management services as part of a 20-year agreement.

The facility will sell its output to several buyers — 100 MW to Mexico-headquartered baked goods maker Grupo Bimbo SAB de CV, 100 MW to pharmaceutical company Novartis AG and 60 MW to pharmaceutical company Merck & Co. Inc. — under three separate virtual power purchase agreements entered in 2018.

According to S&P Global Market Intelligence data, Santa Rita East is capable of producing 300 MW of electricity.

The acquisition increases AEP's contracted renewable generation portfolio to 1,302 MW. "We've targeted approximately $2.2 billion in capital investment in our contracted renewables business by 2023, and combined with our purchase of wind, solar and battery assets in April, we have achieved nearly 70 percent of our contracted renewables investment goal," said Nicholas Akins, AEP chairman, president and CEO.

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Game over for Nintendo in China; Valmont, Tenaris face steel challenge

Thursday, July 11, 2019 9:27 AM ET

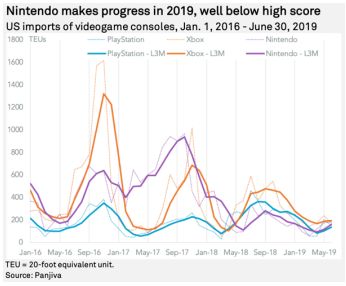
By Chris Holman Rogers
S&P Global Corporate

The Supply Chain Daily provides a curated overview of Panjiva's research and insights covering global trade policy, the logistics sector and industrial supply chains.

Game over for Nintendo in China as Switch toggles to Vietnam
Nintendo Co. Ltd. plans to shift a portion of the manufacturing of its Switch videogame console to Vietnam from China. That likely represents an acceleration of a prior plan in response to the risk of tariff increases by the U.S., though those are currently in abeyance. Console shipments have already been in decline, with total U.S. seaborne imports down 14.3% year over year in June after a 29.6% drop in the prior three months.

There is evidence of stockpiling from Nintendo — its U.S. seaborne imports surged 46.2% year over year in the second quarter — either to preempt tariffs, support the launch of the Switch Lite or to manage its production changeover. Sony Corp. and Microsoft Corp., meanwhile, have not followed suit, with imports down 47.2% and 29.5%, respectively.

(Panjiva Research - Tech. Hardware)

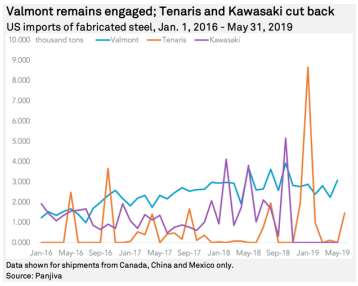


Valmont, Tenaris may be burned by structural steel case
The U.S. government has issued preliminary countervailing duties on structural steel from China and Mexico, sparing Canada. This case was filed before the relaxation of steel duties under the U.S.-Mexico-Canada Agreement and may therefore cause friction between the U.S. and Mexico.

Exports to the U.S. from Mexico have rallied 16.8% year over year in the three months to May 31, whereas Chinese exports have dropped 44.0%. The leading shipper to the U.S. in the 12 months to May 31 was Valmont Industries Inc. with 34,300 tons from Mexico, mostly by land.

In terms of seaborne shipments, Tenaris SA was the largest, with 14,400 tons from Mexico, while the largest Chinese shipper was the local unit of Japan-based Kawasaki Heavy Industries at 10,300 tons.

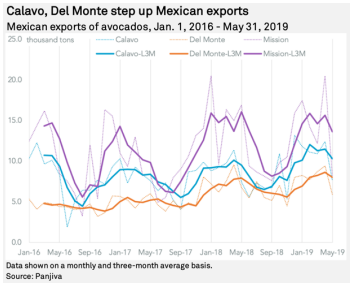
(Panjiva Research - Metals & Mining)



Calavo, Del Monte meet America's avocado hunger from Mexico
A surge in avocado prices due to a weak Californian harvest is drawing in expanded supplies to the U.S. Imports from Mexico climbed 6.5% year over year in the three months to May 31, while those from Peru and Chile surged 45.5% and 66.7% higher, respectively.

That is good news for Mexican exporters including Calavo Growers Inc. and Fresh Del Monte Produce Inc., which have increased shipments by 9.5% and a less-impressive 0.7%, respectively. Mission Produce Inc., meanwhile, saw a 15.3% drop in its Mexico-to-U.S. shipments but has increased its exports to the U.S. from Peru by 69.5% to compensate.

(Panjiva Research - Agriculture)



Taiwan tank deal great for trade deals, bad for trade negotiations
The U.S. government has approved a $2.22 billion arms sale to Taiwan including General Dynamics Corp.'s M1A2 Abrams tanks and Raytheon Co.'s Stinger missiles. That compares to total U.S. export order approvals for all countries of $32.6 billion year-to-date, up from $30.4 billion at the same time in 2018 and $19.0 billion in the same period in 2017.

Exports of weapons and military aerospace systems to Taiwan were just $402 million in the 12 months to May 31, down from a peak of $2.02 billion in the 12 months to November 2015. While helping the Trump administration's aims of boosting exports, it may jeopardize the recently restarted trade talks with China.

(Panjiva Research - Aerospace & Defense)

Asia enters export recession as Philippines inches ahead
International trade activity in the Philippines fell 3.0% year over year in May, largely due to a slump in imports of steel and oil products. Exports, meanwhile, rose 1.0%, marking a second month of better conditions, and included a 4.5% rise in semiconductor shipments.

The Philippines' improvement was not seen across Asia. Exports across 14 countries fell 2.4% year over year with the result that the region has entered a technical export recession, defined as two consecutive three-month periods of falling exports. The outlook for the U.S.-China trade war will be critical for the region given that China accounted for 42.2% of all exports in the 12 months to May 31.

(Panjiva Research - Economics)

Volkswagen Mexico accelerates while key markets slow
Mexican automotive export growth slowed in June to 1.7% year over year compared to a 4.1% expansion in the prior three months. That is in part due to declining auto sales in the U.S., which fell by 1.9% year over year, with General Motors Co.' exports down 8.0% and lower shipments by Toyota Motor Corp. and Nissan Motor Co. Ltd. too.

Not all suppliers have cut their shipments though. Ford Motor Co.'s exports grew by 23.9% in number of vehicles globally, following a 43.9% increase in dollar terms in May. Volkswagen AG has been a more extreme example; the dollar value of its exports from Mexico to the U.S. in May surged 110.7% year over year.

(Panjiva Research - Autos)

Taco Bell's flatbread shortage is Bimbo's opportunity to raise exports
Taco Bell Corp. may be facing shortages of tortillas for its signature burrito product, indicating that even simple products can face supply chain challenges. Shipments of baked goods from Mexico had been threatened with border closures and tariffs, which is significant given that the U.S. accounted for 92.0% of Mexican exports in the 12 months to May 31.

While the number of shipments from Mexico fell 1.0% year over year in May, the value of shipments climbed 6.5%, suggesting a mix of higher prices and more value-added products. The largest exporter of baked goods to the U.S. from Mexico in the past 12 months is Grupo Bimbo SAB de CV. With $315 million shipped, its shipments rose 9.7% year over year in May from 18.4% in the prior three months.

(Panjiva Research - Food & Beverages)

Christopher Rogers is a senior researcher at Panjiva, which is a business line of S&P Global Market Intelligence, a division of S&P Global Inc. This content does not constitute investment advice, and the views and opinions expressed in this piece are those of the author and do not necessarily represent the views of S&P Global Market Intelligence.

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Fitch affirms Grupo Bimbo's ratings on solid position in baked goods industry

Thursday, May 9, 2019 8:52 PM ET

By Amanda Jean Dalugdug
Market Intelligence

Fitch Ratings on May 8 affirmed the long-term foreign and local currency issuer default ratings of Grupo Bimbo SAB de CV at BBB, citing the Mexican company's position as a leading global producer of baked goods, among other reasons.

The rating agency also affirmed Grupo Bimbo's national long-term rating at AA+(mex) and kept the group's rating outlooks stable.

Fitch highlighted the company's portfolio of leading brands, extensive distribution network in key markets, and geographically diversified operations. The agency added that the rating affirmation also took into account the gradual recovery of Grupo Bimbo's leverage metrics and Fitch's expectation that adjusted gross debt-to-EBITDAR will continue to rise to about 3.0x and its adjusted net debt-to-EBITDAR to 2.9x in the next 12 to 24 months.

Grupo Bimbo operates in Mexico, the U.S., Canada, Latin America, Europe and in some markets in Asia and Africa. Fitch said the company maintained relatively stable market positions across its territories despite tight competition in the U.S., Canada and Iberia. The agency said Grupo Bimbo's competitive edge includes its position as a low-cost producer and an extensive distribution network among its main markets.

Fitch forecasts Grupo Bimbo's consolidated revenues to grow annually by about 5% in 2019 and 2020. However, the agency predicts headwinds to continue from weak private label volumes in the U.S., a tough economic environment in Argentina and challenging operations in Brazil.

The agency also expects Grupo Bimbo's EBITDA margin to be about 11% in 2019 and 2020 and for the company to pay dividends of approximately 2.1 billion Mexican pesos in 2019 and 2.2 billion pesos in 2020.

Fitch said it does not forecast positive rating actions in the short to medium term. The rating agency said it could assign a negative rating action if it sees sustained deterioration in Grupo Bimbo's revenue growth and profitability margins, negative free cash flow margin over its business cycle and significant debt-financed acquisitions.

As of May 8, US$1 was equivalent to 19.05 Mexican pesos.

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Invenergy secures project financing for Texas wind, Ga. solar facilities

Tuesday, January 15, 2019 4:08 PM ET

By Usman Khalid
Market Intelligence

Invenergy LLC closed the project construction financing for two of the largest renewable energy assets in its portfolio.

The company said it closed the financing of the 160-MW Southern Oak solar farm in Mitchell County, Ga., and 302.4-MW Santa Rita East wind farm in Irion County, Texas, on Dec. 19, 2018.

The projects are slated for commercial operations later in 2019, according to two separate news releases.

Upon completion of the wind farms, Invenergy will sell a 75% majority stake in the power plant to American Electric Power Co. Inc.' subsidiary AEP Renewables and retain the remaining 25% interest while continuing to provide operations, asset management and energy management services as part of a 20-year agreement. The facility's output will be sold to several buyers: 100 MW to Mexico-headquartered baked goods maker Grupo Bimbo SAB de CV, 100 MW to pharmaceutical company Novartis AG and 60 MW to pharmaceutical company Merck & Co. Inc. under three separate virtual power purchase agreements entered in 2018.

The entire output of the solar facility, which S&P Global Market Intelligence refers to as the Camilla Solar Energy facility, is secured under a power purchase agreement with Southern Co. utility Georgia Power Co. through 2049.

CoBank ACB acted as sole lender, issuing bank, collateral agent and administrative agent on the solar deal. Santander Consumer USA Holdings Inc. and Rabobank NA acted as co-lead arrangers and issuing banks. Santander served as administrative agent for the wind farm.

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Green Globe: Belarus plans to nix clean energy incentives in favor of nuclear

Thursday, October 11, 2018 7:21 AM ET

By Ellen Meyers
Market Intelligence

Belarus is likely to phase out incentives initially designed to encourage renewable energy development, signaling to the industry that it is turning its attention to nuclear to diversify its energy mix.

The country's energy minister, Viktor Karankevich, told the Belarusian Telegraph Agency that technology advances and a decline in investing in clean energy installations suggests that the government can reduce development incentives.

"I am confident we will be able to strike a balance of interests of producers and consumers. It is a strategic task for us," he said Oct. 9.

According to Climatescope, an initiative from U.K. Aid and Bloomberg New Energy Finance, renewable energy makes up 2% of Belarus' installed power capacity of 9,120 MW, while natural gas dominates the rest of the country's domestic energy generation. Belarus has set a target to obtain 6% of its power from clean energy sources by 2035. In recent years, however, the country has focused on building a 2,400-MW nuclear plant in order to reduce its reliance on imported energy and natural gas.

"In 2015 the Council of Ministers introduced annual capacity addition limits for renewable energy in a sign that the government is more focused on its large commitments in the nuclear sector," according to Climatescope. "Access to finance, red tape and high costs also continue to hold back Belarus's renewable energy market."

Mexico's Grupo Bimbo SAB de CV, the world's largest baking company, became the first firm in Latin America to join the RE100, an international group of major corporations that have committed to using 100% renewable electricity.

In an Oct. 3 news release, Grupo Bimbo said its goal is to power its global operations using 100% renewable energy by 2025. The company will use a variety of methods to directly and indirectly procure clean energy, including power purchase agreements, renewable energy certificates and investing in on-site distributed generation.

"Our commitment to convert our operation to 100% renewable energy is a major step toward our purpose of building a sustainable, highly productive and deeply humane company," Daniel Servitje, Grupo Bimbo's president and CEO, said in a statement. "Having operations in 32 countries, this is a challenge we assume with the clear conviction and responsibility to contribute to a better planet for present and future generations."

Non-utility customers have become a larger source of demand for clean energy developers, with nearly 11,000 MW in corporate procurement deals announced in the U.S. alone since 2013. Industry analysts expect the trend to grow as corporations power data centers and other operations with renewable generation while requiring suppliers to make similar clean-energy commitments.

Spain's government has approved a royal decree to expand the country's renewable energy usage, including a provision to remove a 7% tax on electricity generation from solar.

According to pv magazine, Spain's Minister of the Ecological Transition Teresa Ribera issued the decree on Oct. 5 as part of a plan to support community renewable energy projects and remove barriers that discourage cooperative energy projects and residential solar PV systems.

The new emphasis on renewable energy is also sparking interest from companies. **Poland**-based investment management and development firm Sun Investment Group CEO Deividas Varabauskas said in an Oct. 5 statement that Spain's decree is "extremely positive" news, making it an attractive new market.

"We are very interested in seeing how their positive shift towards renewable energy goes," he said.

Even before the regulatory changes, solar photovoltaic was expected to lead growth in Spain's energy mix. The government estimated in April 2018 that solar will account for more than 43% of total power installations by 2030.

Elsewhere

***** NLC India Ltd. and Coal India Ltd. will partner to invest $1.6 billion to build 3,000 MW of solar in **India**.

***** Canadian Solar Inc. sees the **European Union** as the next hot solar market amid turmoil and tariffs in the U.S. and **China**.

***** Blackstone Group LP is launching a new business that will invest "hundreds of millions of dollars" in renewable energy assets across **Middle East** and **North Africa**, including **Egypt**, **Jordan** and **Morocco**, according to The Financial Times.

***** In **South Africa**, there is concern that the government may stall renewable energy project tenders for another three years, Recharge reports.

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Mexico's Grupo Bimbo completes Mankattan acquistion in China

Thursday, June 28, 2018 6:05 PM ET

By Mehrose Shahzad
Market Intelligence

Mexico-based packaged food producer Grupo Bimbo SAB de CV said June 28 that it completed the acquisition of China's Mankattan Group after fulfilling customary closing conditions.

Mankattan, which produces and supplies baked goods, has 1,900 associates and operates four plants in China.

According to Grupo Bimbo Chairman and CEO Daniel Servitje, the acquisition helps boost the company's presence and improve the market for packaged baked goods in the Asian country.

The financial terms of the transaction, first announced Feb. 12, were not disclosed.

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Bimbo Bakeries cuts 600 jobs in voluntary employee separation program

Wednesday, June 27, 2018 5:05 AM ET

By Amanda Jean Dalugdug
Market Intelligence

Grupo Bimbo SAB de CV said June 26 that its subsidiary Bimbo Bakeries USA Inc. has completed its voluntary employee separation program, resulting in a net headcount reduction of about 600 positions.

The American arm of Grupo Bimbo initiated the program on April 13 to boost the Mexican bakery's implementation of a "lean organizational design," according to the release.

The program has given eligible associates the option to separate from the company with severance and benefits.

"The completion of this program will help increase cash flow and improve profitability, as it has a payback of less than two years," Bimbo Bakeries USA President Fred Penny said in the release.

Grupo Bimbo added that it will take a noncash, one-time charge of approximately $100 million in the second quarter as a result of the move.

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Grupo Bimbo outlines sustainability measures

Tuesday, June 5, 2018 4:32 AM ET

By Amanda Jean Dalugdug
Market Intelligence

Grupo Bimbo SAB de CV on June 5 outlined its sustainability initiatives focused on waste management, carbon and water footprint reduction, and achieving a sustainable value chain.

The Mexican packaged food producer said 92% of the total waste from its production processes are reused and/or recycled. The company added that it has established 30 plants with zero waste to landfill.

Grupo Bimbo also is targeting a 75% shift to renewable sources at its facilities internationally by the third quarter of 2019. In April, the company entered into an agreement to receive 100 MW of wind energy from Invenergy LLC as it shifts to renewable energy for its U.S. operations.

The maker of Sara Lee cakes added that it is now on the first stage of its move to source electricity from solar energy.

Grupo Bimbo has reduced its water consumption by 18% since 2009, and it has increased its accumulated water reuse by 25% since 2015.

To achieve a sustainable value chain, the company said it implemented pilot projects for corn and wheat sustainable farming in Mexico in partnership with the International Maize and Wheat Improvement Center.

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Merck to acquire portion of Texas wind farm to boost global energy supply target

Wednesday, April 18, 2018 10:42 AM ET

By Nephele Kirong
S&P Global Energy

Pharmaceutical company Merck & Co. Inc. agreed to purchase wind-generated electricity from Invenergy LLC to support its environmental sustainability goals.

The 12-year virtual power purchase agreement, announced April 17, is for 60 MW of capacity from the Santa Rita East wind farm, which is expected to come online in Texas in 2019. The agreement represents new wind-generated power that will be delivered to the Electric Reliability Council of Texas market.

Merck, known as MSD outside the U.S. and Canada, aims to have 50% of its purchased electricity come from renewable resources by 2025 and 100% by 2040. The company expects the agreement to reduce its greenhouse gas emissions by more than 100,000 tonnes per year during the term of the contract.

The agreement is the second Invenergy has struck for the Santa Rita East project. On April 4, the company announced a similar agreement with Grupo Bimbo SAB de CV, a Mexico-headquartered global provider of bread and baked goods including brands such as Sara Lee and Entenmann's, for 100 MW. Grupo Bimbo aims to have its U.S. operations supplied solely by renewable energy resources by 2020. The deal with Invenergy will supply three-fourths of Grupo Bimbo's worldwide electricity needs from renewable resources, the companies said.

Invenergy's nearby 300-MW Hickman Wind Project (Santa Rita Wind Energy Center) began operating in Reagan County, Texas, in 2017, and all of its output is committed under contracts with corporate and utility buyers.

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Mexico's Grupo Bimbo to shift to renewable energy for US ops

Wednesday, April 4, 2018 5:00 PM ET

By Amanda Jean Dalugdug
Market Intelligence

Mexican bakery products manufacturer Grupo Bimbo SAB de CV entered into an agreement to receive 100 MW of wind energy from Invenergy LLC as it plans to shift to renewable energy for its U.S. operations by 2020.

In an April 4 release, the maker of Sara Lee cakes said its virtual power purchase agreement with the independent wind power generation company will allow it to reduce its carbon and water footprint and to contribute to its waste management and natural capital.

Grupo Bimbo will start generating electricity from Invenergy's Santa Rita East wind farm in Texas in the third quarter of 2019.

The wind farm is expected to create 300 jobs during construction and 12 to 15 permanent jobs once it is operational.

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